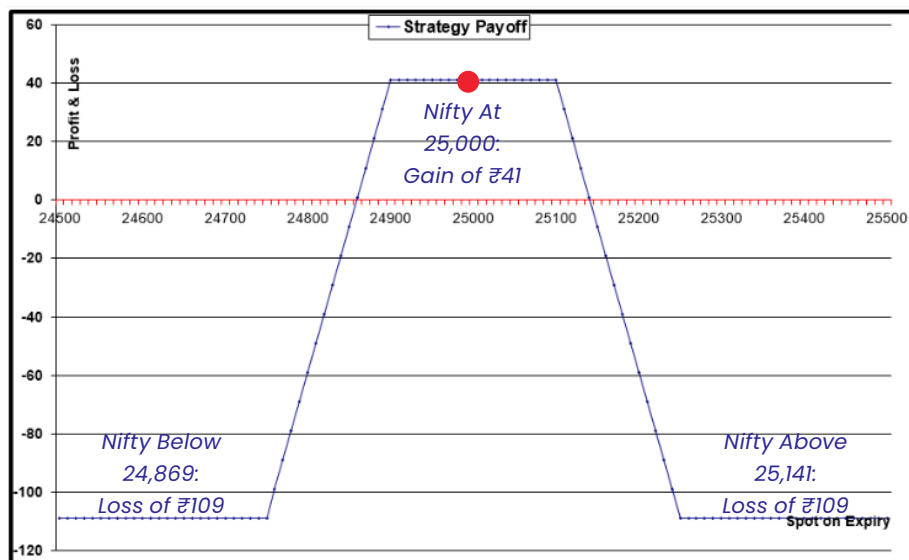


Let us visualise these pay-offs.



5.3 Volatile Market Strategies

The market may be volatile due to economic and political fluctuations. In such a market, the prices may swing rapidly and often unpredictably. Let us examine some strategies you can apply when the market is very volatile.

5.3.1 Long straddle

In a long straddle strategy, we buy ATM calls and puts while expecting a wide range of price movements. This strategy has high costs. It also has the disadvantage of time decay. However, it possesses the potential for unlimited profits.

